NORTH WESTERN ZONE – EXAMINATION
FORM FOUR– COMMERCE
MARKING SCHEME

SECTION A (16 marks)

1. 10 marks @1 mark

i	ii	iii	iv	v	vi	vii	viii	ix	X
A	C	B	A	C	E	E	D	A	C

2. 6 marks@1 mark

LIST A	i	ii	iii	iv	v	vi
LIST B	E	H	B	F	A	D

SECTION B (54 marks)

Question three (3)

Nine marks (1.8 marks each)

ii. Bridge the gap between buyers and sellers by giving information

ii. Gives information on what and where to buy

iii. Information on price, quality and features of the products

iv. Information on how to use the product

v. Expose customers to have wide choice and varieties of goods

vi. Create large market for the goods (demand) since large scale lower price

Question four (4)

Nine marks (1.8 marks each)

Advantages of railway transport

i. It is suitable for transporting large quantities

ii. Its cost is lower

iii. Less affected by diverse weather conditions

iv. Breakdown is less frequent compared to road transport

Disadvantages of railway transport

i. Railway transport has limited accessibility

ii. It lacks flexibility

iii. In the event of accident, railway transport involves significant losses in both life and goods

iv. It is unsuitable for short distances

Question five (5)

Nine marks (1.8 marks each)

a) Cost price= (opening stock + purchase) - closing stock

= (20000 +150000) – 25000

= 170000 – 25000

= 145000

∴ Cost price is 145000

b) Gross profit

From

$$\text{Markup} = \frac{\text{Goss profit}}{\text{Cost price}}$$

40/100 = Gross profit/145000

$$\text{G.P} = \frac{145000 \times 40}{100}$$

∴Gross profit is 58000

c) Margin percentage

Markup→ Margin

40/100→ 40/ (100+40)

40/140 × (100)

=28.62

∴ Margin = 28.62

d) Turnover

From

Gross profit = turn over – cost price

58000= T – 145000

∴ Turnover is 203000

e) Net profit = Gross profit – expenses

= 58000 – 28600

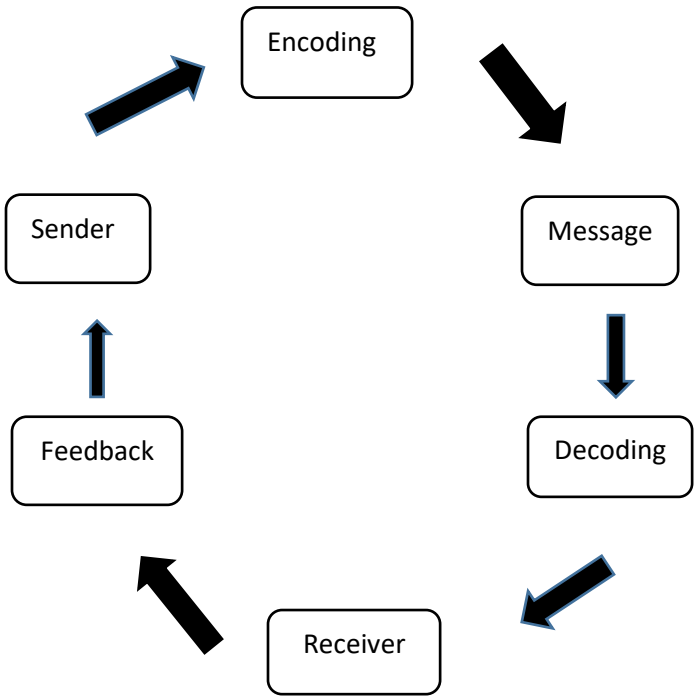
∴Net profit is 29400

Question six (6)

Nine marks (9)

Diagram 2 marks

Points (1 mark each)



i. Sender

ii. Encoding

iii. Message

iv. Communication media

v. Receiver

vi. Decoding

vii. Feedback

Question seven (7)

Nine marks (1.8 marks each)

i. Arranging goods in a warehouse

ii. Cleaning a warehouse

iii. Regulation of the atmospheric condition

iv. Use of modern facilities

v. Physical inventory counting

vi. Regular equipment

vii. Enforce safety regulations

viii. Train warehouse staff

Question eight (8)

Nine marks (1.8 marks each)

i. Age

ii. Medical history

iii. The duration of the plan you select

iv. Body mass index (BMI)

v. Life style habit

vi. Your domestic location

vii. The type of plan you choose

SECTION C (30 marks)

Question nine (9) 15 marks

- Introduction 1.5 marks
- Main body 2 marks each

Conclusion 1.5 marks

i. Source of revenue

ii. Provision of public goods

iii. Regulate consumption

iv. Regulate production

v. Regulating imports and exports

vi. Fostering economic development

vii. Enhancing capital formation

viii. Increasing employment opportunities

ix. Reduce income inequalities arising from economic disparities

x. Reduction of regional imbalances

Question ten (10) 15 marks

- Introduction 1.5 marks
- Main body 2 marks each
- Conclusion 1.5 marks

i. Simplicity of formation

ii. More financial resources

iii. Collective management, skills and knowledge

Iv. Easy to obtain loan

v. Free entry and exit of partner

vi. Ease of dissolution

Question eleven (11) 15 marks

- Introduction 1.5 marks
- Main body 2 marks each
- Conclusion 1.5 marks

i. It enable a country to get what she cannot produce

ii. Dispose of surplus products

iii. It reduces scarcity of goods

iv. It is important during calamities

v. Technological transfer

vi. Stimulating international understanding foreign earning